CANADA BREAD COMPANY, LIMITED

THIRD QUARTERLY REPORT

1998





CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Pro forma sales (note 1) for the third quarter of $133 million compare to $135 million last year. Net earnings for the quarter of $3.0 million ($0.14 per share) compare to $7.6 million ($0.36 per share) last year. Net earnings for the year-to-date were $10 million ($0.47 per share) excluding the special charge to earnings in the first quarter, compared with $18.3 million ($0.86 per share) last year, excluding the profit on the sale of Brooklyn Bagel Boys, Inc.

Results in the third quarter continued to be adversely affected by three factors: lower fresh bread volumes in Western Canada; reduced gross margins in Eastern Canada; and lower earnings from the Company's 25% interest in Multi-Marques. The frozen bakery and pasta operations are performing well.

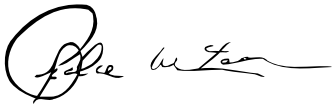
In Western Canada, margins and volumes are showing some improvement as a result of corrective action taken, however earnings have not yet recovered to prior year levels. In Eastern Canada, changes in pricing and improved control over marketing expenditures have begun to positively impact margins, and further improvement is anticipated in the fourth quarter. It is unclear as to when the Company's share of earnings from Multi-Marques will improve. Management is focused on ensuring that these issues are addressed on a priority basis and believes that the strategic initiatives completed to date have strengthened the Company's foundation for future earnings growth.

The Company declared a quarterly dividend of $0.06 per share, payable January 2, 1999, to shareholders of record, December 14, 1998.

For the Board of Directors,



David H. Lees
President and Chief Executive Officer



Archibald D. McLean
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts) (Unaudited)	13 WEEKS ENDED September 26, 1998	12 WEEKS ENDED September 6, 1997	13 WEEKS Pro-Forma(1) 1997	39 WEEKS ENDED Sept.26, 1998	36 WEEKS ENDED September 6, 1997	39 WEEKS Pro-Forma(1) 1997
Sales	**$132,716**	**$124,006**	**$135,067**	**$380,865**	**$357,573**	**$389,117**
Earnings from operations, before unusual items	**4,808**	**10,348**	**11,258**	**14,997**	**22,958**	**25,490**
Unusual items	—	—	—	(14,401)	—	—
Earnings from operations	**4,808**	**10,348**	**11,258**	**596**	**22,958**	**25,490**
Other Income	648	1,751	1,877	2,206	3,904	4,092
Gain on sale of business	—	—	—	—	6,300	6,300
Earnings before interest and taxes	**5,456**	**12,099**	**13,135**	**2,802**	**33,162**	**35,882**
Interest expense	568	426	466	1,595	1,126	1,241
Earnings before income taxes	**4,888**	**11,673**	**12,669**	**1,207**	**32,036**	**34,641**
Income taxes	1,905	4,042	4,368	685	11,253	12,292
Earnings before minority interest	**2,983**	**7,631**	**8,301**	**522**	**20,783**	**22,349**
Minority interest	(1)	(7)	(8)	(7)	(19)	(21)
Net earnings for the period	**$2,982**	**$7,624**	**$8,293**	**$515**	**$20,764**	**$22,328**
Earnings per share	**$0.14**	**$0.36**	**$0.39**	**$0.02**	**$0.97**	**$1.04**
Dividends per share declared	**$0.06**	**$0.06**	**$0.06**	**$0.18**	**$0.18**	**$0.18**
Weighted average number of shares (millions)	**21.4**	**21.4**	**21.4**	**21.4**	**21.4**	**21.4**

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars) (Unaudited)	13 WEEKS ENDED September 26, 1998	12 WEEKS ENDED September 6, 1997	39 WEEKS ENDED September 26, 1998	36 WEEKS ENDED September 6, 1997
CASH PROVIDED BY (USED IN):				
OPERATING ACTIVITIES				
Net earnings for the period	$2,982	$7,624	$515	$20,764
Add (deduct) items not affecting cash:				
Depreciation	3,705	3,528	11,296	10,400
Amortization	712	535	2,091	1,604
Undistributed earnings from an associated company	(550)	(1,550)	(95)	(1,450)
Minority interest	1	7	7	19
Gain on sale of business	—	—	—	(4,000)
Non-cash amounts included in unusual items	—	—	9,423	0
Changes in non-cash working capital	13,363	(876)	3,456	(8,386)
	20,213	9,268	26,693	18,951
FINANCING ACTIVITIES				
Increase in share capital	—	288	370	809
Dividends paid	(1,287)	(1,283)	(3,853)	(3,845)
Dividends paid to minority interest	—	—	—	(14)
Increase in (repayment of) long-term debt	(5,748)	8,336	(1,510)	(6,111)
Repayment of debt to parent company	—	—	—	(3,531)
	(7,035)	7,341	(4,993)	(12,692)
INVESTING ACTIVITIES				
Additions to property and equipment, net	(1,783)	(16,429)	(9,058)	(35,891)
Disposal of net assets of businesses	—	—	—	29,929
	(1,783)	(16,429)	(9,058)	(5,962)
Net increase in cash for the period	**11,395**	**180**	**12,642**	**297**
Bank indebtedness, beginning of period	(4,334)	(4,674)	(5,581)	(4,791)
Cash net of bank indebtedness, end of period	**$7,061**	**($4,494)**	**$7,061**	**($4,494)**

(1) In 1998, the company changed its reporting periods to four 13 week quarters. To enable an appropriate comparison of results, comparative amounts reflecting this change have been shown as Pro-Forma in the statement of earnings.

CONSOLIDATED BALANCE SHEETS

(In thousands of Canadian dollars) (Unaudited)	As at September 26, 1998	As at September 6, 1997
ASSETS		
Current assets:		
Cash	$11,061	$ —
Accounts receivable	34,910	43,238
Due from related company	3,484	4,473
Inventories	14,558	14,984
Income taxes recoverable	2,919	—
Prepaid expenses	4,559	5,452
	71,491	68,147
Investment in associated company	**45,218**	**43,918**
Property and equipment	**158,054**	**155,047**
Goodwill	**76,221**	**79,326**
	$350,984	**$346,438**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$4,000	$4,494
Accounts payable and accrued charges	66,418	58,284
Dividends payable	1,285	—
Income taxes payable	—	3,823
Current portion of long-term debt	167	194
	71,870	66,795
Long-term debt	**29,392**	**34,323**
Deferred income taxes	**20,179**	**20,766**
Minority interest	**103**	**87**
Shareholders' equity	**229,440**	**224,467**
	$350,984	**$346,438**